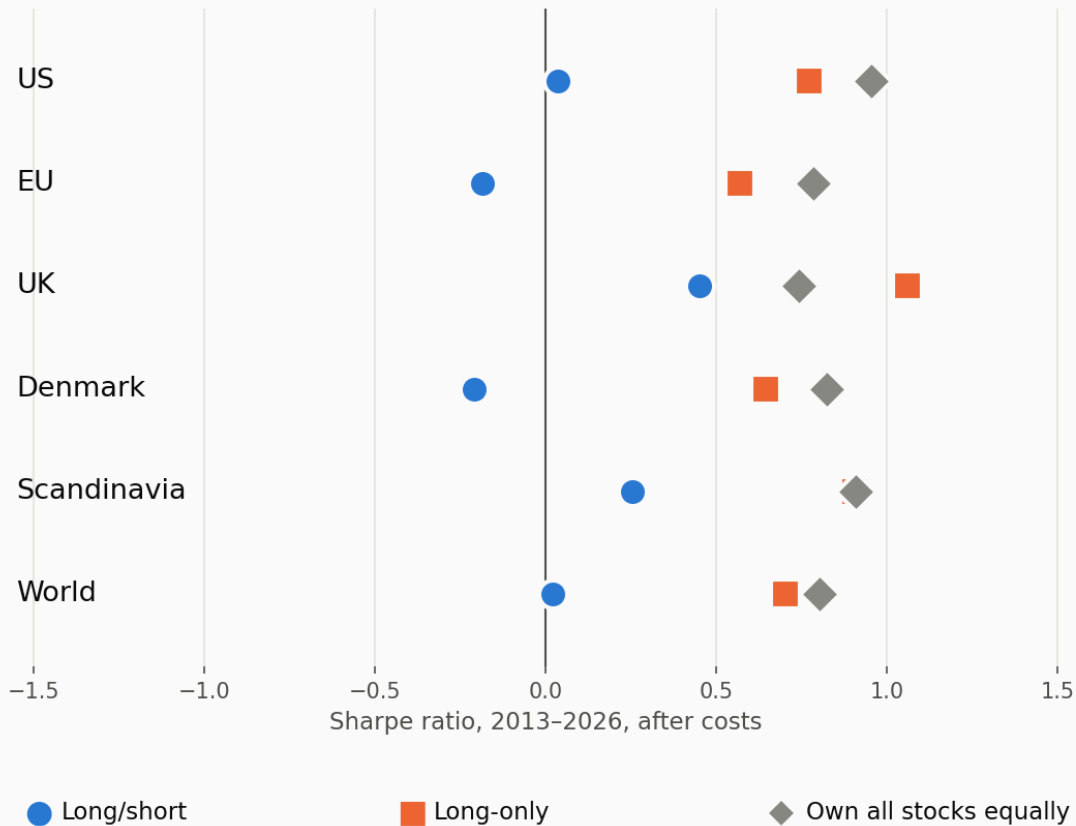


Size

Do smaller companies beat bigger ones?



Long/short positive in 4 of six markets; long-only beat owning all stocks in 1 of six.

Henrik Gjernerig · Project 10 · point-in-time universes, local currency (World in USD)

Henrik Gjernerig · LinkedIn

Small companies earn higher returns than large ones. Banz (1981) found it in US stocks 1936–1975; it became Fama & French's SMB factor, but has been weak since the early 1980s unless junk stocks are controlled for (Asness et al. 2018).

I tested it on six markets, 2013–2026: US, Europe, UK, Denmark, Scandinavia and the world. Point-in-time index members, after costs.

Long/short (smallest names in the universe minus largest names): -3.0% to +4.9% a year, positive in 4 of six markets. Adjusted for market beta: -5.5% to +2.9%.

Long-only (smallest names in the universe): a better Sharpe than owning all the stocks equally in 1 of six markets.

The pre-declared fixes (beta-neutral legs, a turnover buffer, volatility targeting) took the 2020–26 holdout Sharpe from -0.44 to -0.45.

360° view: once its nearest neighbours are in the model, nothing is left: the signal is redundant.

Full factsheet with P&L, trade records, drawdowns, factor attribution, fixes, classification and the 360° view: <https://hgjernerling.github.io/now-showing/factsheets/fs07-size>

#investing #quant #factorinvesting #backtesting